

9

IS THERE A TIME FOR TIMING?

I'll tell you a secret about my fellow professionals that I probably should not reveal: market timing is the secret vice of a lot of portfolio managers.

Whenever they are interviewed by the press, they put on their most solemn faces and proclaim: "Trying to predict what the market will do is a fool's game. We pay little attention to the market. All our attention is on the companies we own."

But constantly watching those companies (and talking to their managements about how business is going), tracking the economy, the market, the Fed, the dollar, consumer polls, and the reams of commentary we get from Wall Street strategists, not to mention engaging in shop talk with friends in the industry, we'd be brain-dead if we didn't develop some kind of opinion about where things are headed. And it colors, to varying degrees, how most of us run our portfolios. We hold back on new investments, we lighten up a bit, or, if our reading is positive, we get more aggressive.

I'm no better, I confess it. When asked by a reporter whether I think the next big move in the market will be up or down, I come back with some I-couldn't-care-less response like "Yeah, one of